

CITY OF CHEYENNE
CONTRACT MODIFICATION

Approved as to
form only:

Amf
Date: 5/10/21

Contract Modification: #1

Project: Happy Jack Landfill Phase 2, Cells 1 and 2 and Construction and Cell 3 Excavation
Earthworks (Earthworks base bid)

Project Number: Contract # 7256

Contractor: Dan Hart Patrol Service, LLC.

Date Prepared: May 7, 2021

The above referenced contract is amended or modified as set forth in the following and these amendments and modifications of the plans and specifications are agreed to by the parties. All other aspects of the original agreement remain unchanged and in full force and effect.

I. Description of Changes

Set up a Force Account to offset fuel costs that exceed 5% for off road diesel with an established fuel price of \$1.45 from time of bid.

II. New Contract Items

Force account for fuel escalation.

III. Schedule

No change to contract length.

IV. Summary

Original Contract Amount	\$4,582,929.28
Previous Modifications	\$0
Contract Amount Prior to this Modification.....	\$4,582,929.28
This Modification	\$310,000.00
New Contract Amount	\$4,892,929.28

V. Approvals

DATE: _____

City of Cheyenne

Mayor Patrick Collins

/_____
/ATTEST: City Clerk Kristina F. Jones

Recommend approval by City Project Manager / Accepted by Consultant

Solid Waste Professionals of Wyoming, LLC

PLANNING • PERMITTING • DESIGN • QA/QC



DATE: April 28, 2021

TO: Craig LaVoy
Deputy Public Works Director

FROM: Travis Evans, PE

RE: Happy Jack Landfill Cells 1 and 2 Construction and Cell 3 Excavation Earthworks Project
Fuel Escalation

BACKGROUND

On February 2, 2021, Dan Hart Patrol (DHP), the earthworks contractor (contractor) for the Happy Jack Landfill Cells 1 and 2 Construction and Cell 3 Excavation Earthworks Project (Project), submitted request for information (RFI) 002 to notify the City of unanticipated increases in fuel costs. On March 15, 2021 DHP submitted a letter from their counsel which accompanied with RFI 003 to provide further detail regarding RFI 002. The letter stated:

"DHP is requesting the per unit price be increased due to the unforeseen, uncontrollable and non-seasonal spike in the price of diesel fuel. DHP is likely to incur a substantial loss if the per unit prices are not adjusted to account for the extraordinary increase in fuel cost. Under Section 41 of the Contract, the increase in diesel fuel cost resulted in a force majeure event because this is "an occurrence beyond the control of the parties"... which "dissuade[s] ... the performance required by" DHP due to the near certainty that DHP will lose money."

Further discussions with DHP indicated prices for both diesel and gasoline escalated as the commodity price for crude oil increased due to growth in demand and supply chain limitations. Specifically, the prices escalated when the nationwide easing of Covid restrictions led to increased demand for all crude oil derivatives and the closure of several Texas refineries, due to a severe winter storm, restricted supply of refined products. The WTI Price for crude increased from \$36.76 on September 8, 2020 to \$61.35 on April 21, 2021 and had a year to date high of \$66.09 on March 8, 2021.

A force majeure notice was not received from the suppliers. The suppliers have the ability to supply the fuel but, as with any commodity, increased demand for the same or less supply increases costs.

A near doubling of the WTI Crude Price and consequential increase in diesel and gasoline prices is not a fluctuation that DHP anticipated. The increase in prices is not part of the normal, summer seasonal price increase. Rather, to date, the increase in prices occurred between the months of September 2020 and April 2021.

Solid Waste Professionals of Wyoming (SWPW) evaluated several options for the City to consider regarding this matter as described below.

OPTIONS

There are two options that the City has regarding DHPs request for a fuel price adjustment and include taking no action or issuing a change order to compensate DHP for the unforeseeable fuel price increases as described below:

- **Option 1 – No Action**

In the event the City took no action, DHP has indicated they would claim force majeure as described in Section 41 of the Agreement and cancel the agreement. If force majeure is valid, the project would then need to be re-bid, which would result in further delays and additional project costs. When the project was bid, the next lowest bidder's bid was \$879,465.72 less than DHP's bid.

- **Option 2 - Approve A Change Order to Allow for Fuel Price Increases**

SWPW evaluated several methods to manage fuel price increases used by the Wyoming Department of Transportation (WYDOT), Abandoned Mine Lands (AML) Program, and private industry. Based on our review of the previously described methods, a Fuel Escalation Force Account could be incorporated into the contract via change order. The following calculation method was used to determine the force account amount and describes how fuel price increases would be accounted for each month:

The off-road diesel price of \$1.45 per gallon that was provided at the time of bidding will be used as the base price. Should the average price of delivered red-dyed off-road diesel vary by more than five percent (5.0%) from the base price (\$1.38 - \$1.52), the Contractor (DHP) may request compensation related to that fuel price variance according to the following conditions. Upon submittal of the payment request, the Contractor shall provide the Engineer copies of actual invoices for fuel delivered to and utilized on the site. At the end of each month, the total of any adjustments, positive or negative will be calculated. If the average price of red-dyed diesel fuel does not vary by more than five percent (5.0%) from the base price, including Wyoming Sales Tax, no adjustment in Contract Price related to fuel prices shall be requested by the Contractor. Variances will be calculated for each month and the total variance from the start of the project will be calculated and agreed upon in writing. Adjustments will only be considered and allowed for red-dyed diesel fuel consumed by earthmoving or off-road equipment. No adjustments will be considered for oils, greases, gasoline, and that portion of diesel fuel consumed by light-duty vehicles or delivery costs.

Based on our discussions with several fuel suppliers, the cost of off-road diesel fuel is expected to stabilize at \$2.35 per gallon. In order to not incur multiple change orders due to rising fuel costs, an assumed peak fuel price was set at \$2.60 per gallon for purposes of determining a potential change order value.

DHP estimates they will consume about 345,000 gallons of off-road diesel fuel throughout the project. Attachment A summarizes the calculations used to determine the Fuel Adjustment Force Account value, should the City opt to proceed with Option 2.

A Fuel Force Account pay item could be included as a separated line item to the contract for the amount of \$310,000. Fuel price escalation adjustments will be paid to the Contractor on a monthly basis based on the calculation described above.

Attachments

47A-002-001

**TABLE 1. FUEL PURCHASES AND FUEL ADJUSTMENT TO DATE
HAPPY JACK LANDFILL CELLS 1 AND 2 CONSTRUCTION AND CELL 3 EXCAVATION EARTHWORKS PROJECT**

Source	Invoice Date	Ship Date	Type	Qty	Base Unit Price	Unit Price w/fees and tax	Total Amount	Base Fuel Unit Price	Total Base Fuel Cost
Homax	12/19/2020	12/19/2020	Dyed #2 ULSD with Winter Add	10,110.00	\$ 1.67897	\$ 1.7776	\$ 17,971.45	\$ 1.52	\$15,367.20
Kotaco	1/1/2021	1/1/2021	DSL Dyed #2 Winter Additive	7,516.00	\$ 1.56500	\$ 1.6181	\$ 12,161.97	\$ 1.52	\$11,424.32
Kotaco	1/12/2021	1/12/2021	DSL Dyed #2 Winter Additive	7,499.00	\$ 1.53650	\$ 1.6396	\$ 12,295.68	\$ 1.52	\$11,398.48
Dooley	1/18/2021	1/18/2021	Dyed #2 2%	3,986.00	\$ 1.88607	\$ 2.0123	\$ 8,021.18	\$ 1.52	\$6,058.72
Homax	1/18/2021	1/18/2021	Dyed #2 ULSD with Winter Add	10,014.00	\$ 1.75724	\$ 1.8758	\$ 18,784.23	\$ 1.52	\$15,221.28
Homax	1/28/2021	1/27/2021	Dyed #2 ULSD with Winter Add	10,010.00	\$ 1.71667	\$ 1.8328	\$ 18,346.22	\$ 1.52	\$15,215.20
Homax	2/15/2021	2/15/2021	Dyed #2 ULSD with Winter Add	10,016.00	\$ 1.95505	\$ 2.0855	\$ 20,888.09	\$ 1.52	\$15,224.32
Homax	2/19/2021	2/22/2021	Dyed #2 ULSD with Winter Add	10,016.00	\$ 2.04293	\$ 2.1786	\$ 21,821.21	\$ 1.52	\$15,224.32
Kotaco	2/26/2021	2/26/2021	Dyed #2 ULSD with Winter Add	7,501.00	\$ 2.20500	\$ 2.2581	\$ 16,938.33	\$ 1.52	\$11,401.52
Homax	3/2/2021	3/2/2021	Dyed #2 ULSD with Winter Add	10,006.00	\$ 2.15900	\$ 2.1721	\$ 23,030.61	\$ 1.52	\$15,209.12
Homax	3/26/2021	3/26/2021	Dyed #2 ULSD	10,000.00	\$ 2.18900	\$ 2.3335	\$ 23,334.80	\$ 1.52	\$15,200.00
Dooley	3/28/2021	3/28/2021	Dyed #2 2%	7,002.00	\$ 2.23590	\$ 2.3832	\$ 16,686.84	\$ 1.52	\$10,643.04
Kotaco	3/28/2021	3/28/2021	DSL Dyed #2	7,509.00	\$ 2.12140	\$ 2.1945	\$ 16,478.64	\$ 1.52	\$11,413.68
Kotaco	4/8/2021	4/8/2021	DSL Dyed #2	8,502.00	\$ 2.23940	\$ 2.2925	\$ 19,491.20	\$ 1.52	\$12,923.04
Totals				119,687.00			\$ 246,250.45		\$ 181,924.24
					Avg Unit Price w/fees/tax		\$ 2.0575	Fuel Adjustment as of 4/8/21	
								\$	\$ 64,326.21

**ATTACHMENT A. FUEL ADJUSTMENT FORCE ACCOUNT ESTIMATE WORKSHEET
HAPPY JACK LANDFILL CELLS 1 AND 2 CONSTRUCTION AND CELL 3 EXCAVATION EARTHWORKS PROJECT**

Base Fuel Costs at Time of Bid	Unit	Value	Notes
1 Dan Hart Estimated Fuel Cost (red dye diesel)		\$500,000	Provided by DHP.
2 Base Unit Price		\$1.45	Provided by DHP. Correlates to WYDOT BFI
3 Estimated Fuel Needs for Project	Gal	344,828	Offroad diesel only
Fuel Costs as of 4/8/21			
4 Fuel Purchased as of 4/8/21	Gal	119,687	Provided by DHP
5 No Adjustment Price Range	Low	\$ 1.38	If fuel falls below this price, the City will receive a discount
6	High	\$ 1.52	If fuel falls above this price, the City will compensate contractor
7 Fuel Adjustment Through 4/8/21		\$ 64,326.21	See Table 1
Force Account Calculation Summary			
8 Estimated Fuel Remaining to Be Purchased	Gal	225,141	Line 3 - Line 4
9 Assumed Maximum Fuel Price	per Gal	\$2.60	
10 Estimated Fuel Expense		\$585,365.52	Line 9 * Line 10
11 Fuel Cost @ High Adjustment Value		\$342,213.69	Line 6 * Line 8
12 Estimated Fuel Adjustment Over \$1.52 per Gallon		\$243,151.83	Line 10 - Line 11
Estimated Maximum Fuel Price Adjustment		\$307,478.04	Line 7 + Line 12
Recommended Fuel Adjustment Force Account Value		\$310,000	



REQUEST FOR INFORMATION (RFI)

REQUEST NO: 0031PROJECT: Happy Jack Landfill Phase 2PROJECT NO: 20-119CONTRACTOR: Dan Hart Patrol Service, LLCClarification Requested By: Garrett BietzRegarding: Plan Sheet N/A of N/A Spec. Section: Fuel Price Adjustments**Clarification / Verification:**

3/15/21

**Larger Table Attached for RFI 002

DHPS would like to discuss Fuel Price Adjustments.

At the time of bidding in September 2020 the price of off-road diesel was \$1.56/Gallon. As of our last statement fuel prices have increased by 30% to \$2.04/Gallon.

DHPS is Requesting for Adjustment for these costs as it makes up 60% of the unit costs. Below is the table breakdown of the adjustments requested using \$1.56/Gallon as the base price.

DHPS can correlate fuel purchased from invoices and the daily load count to show where the increase should be applied.

Fuel Price Increase	Portion of Costs	Overall Increase	Excavation Price Per CY	Prepare Cell Subgrade Per SY	Sand Drainage Layer Per CY
5%	60%	3.0%	\$ 0.04	\$ 0.01	\$ 1.19
10%	60%	6.0%	\$ 0.07	\$ 0.03	\$ 2.37
15%	60%	9.0%	\$ 0.11	\$ 0.04	\$ 3.56
20%	60%	12.0%	\$ 0.15	\$ 0.05	\$ 4.74
25%	60%	15.0%	\$ 0.18	\$ 0.06	\$ 5.93
30%	60%	18.0%	\$ 0.22	\$ 0.08	\$ 7.11
35%	60%	21.0%	\$ 0.26	\$ 0.09	\$ 8.30
40%	60%	24.0%	\$ 0.29	\$ 0.10	\$ 9.48
45%	60%	27.0%	\$ 0.33	\$ 0.12	\$ 10.67
50%	60%	30.0%	\$ 0.37	\$ 0.13	\$ 11.85
55%	60%	33.0%	\$ 0.40	\$ 0.14	\$ 13.04
65%	60%	39.0%	\$ 0.48	\$ 0.17	\$ 15.41
70%	60%	42.0%	\$ 0.51	\$ 0.18	\$ 16.59
75%	60%	45.0%	\$ 0.55	\$ 0.19	\$ 17.78

Thanks,

Garrett Bietz
Dan Hart Patrol Service
307-622-0421

Signed: Engineer/Project ManagerDate:

WELBORN

SULLIVAN MECK & TOOLEY, P.C.

March 8, 2021

Casper Office

VIA EMAIL FROM STEVEN GERBER TO:
clavoy@cheyennecity.org

City of Cheyenne
Attn: Craig LaVoy
2101 O'Neil Avenue
Cheyenne, WY 82001

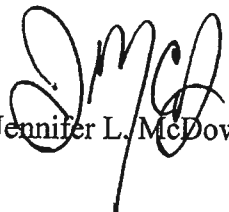
RE: Request for Increase in Contract Prices Due to Force Majeure Event

Dear Mr. LaVoy,

Welborn Sullivan Meck & Tooley, P.C. represents Dan Hart Patrol Service, LLC (“DHP”). This letter is a request to amend the Happy Jack Landfill Phase 2, Cells 1 and 2 Construction and Cell 3 Excavation “**Contract**” by and among the “**City**” of Cheyenne, DHP *et. al.* Specifically it is a request to increase the per unit prices to be paid by the City to DHP as described in the enclosed Request for Information.

DHP is requesting the per unit prices be increased due the unforeseen, uncontrollable and non-seasonal spike in the price of diesel fuel. DHP is likely to incur a substantial loss if the per unit prices are not adjusted to account for the extraordinary increase in fuel cost. Under Section 41 of the Contract, the increase in the diesel fuel cost is a *force majeure* event because it is “an occurrence beyond the control of the parties” ... which “dissuade[s] ... the performance required by” DHP due to the near certainty that DHP will lose money. Accordingly, DHP respectfully requests that the per unit prices be increased as described in the enclosed document. If you have any questions, please feel free to contact me or Steven Gerber (307-756-2835).

Sincerely,



Jennifer L. McDowell

Enclosure

APPROVED

By Alessandra at 10:28 am, Oct 19, 2020

CITY OF CHEYENNE, WYOMING
AGREEMENT

Bid No. S-6-21

Contract No. 7256

THIS AGREEMENT, entered into this 9th day of November, 2020, by and between the CITY OF CHEYENNE, WYOMING, hereinafter referred to as the "CITY", and DAN HART PATROL SERVICE, LLC, hereinafter referred to as the "CONTRACTOR".

WITNESSETH that the Contractor and the City, for the considerations stated herein, mutually agree as follows:

ARTICLE 1. STATEMENT OF WORK. The Contractor shall furnish all supervision, technical personnel, labor, materials, machinery, tools, equipment, and services, including utility and transportation services, and perform and complete all work in an efficient and workmanlike manner in the construction of the "Happy Jack Landfill Phase 2, Cells 1 and 2 Construction and Cell 3 Excavation Earthworks (Earthworks Base Bid)" project all in strict accordance with the Contract Documents including all addenda thereto, numbered and dated: Addendum One (1), dated September 22, 2020, Addendum Two (2), dated September 23, 2020, Addendum Three (3), dated September 28, 2020, Addendum Four (4), dated October 5, 2020.

ARTICLE 2. RESPONSIBLE DESIGNEE FOR THE CITY. The Contractor shall in any and all matters relating to the scope of services to be provided under this Contract or any other provisions herein, contact the City Engineer, or his/her designated representative.

ARTICLE 3. TIME FRAME FOR COMPLETION. The services to be performed under this Agreement shall commence on the date stipulated in the "Notice to Proceed" that will be issued by the City. The work shall be completed by November 30, 2021, and in accordance with the milestones listed in the Bidding Documents, General Conditions, Part 15.00, Time for Completion. If the work has not been completed within the time stipulated above, including any extensions of time issued by the City for excusable delays, the Contractor and his/her sureties shall pay the City fixed, agreed liquidated damages, as stipulated in the Supplemental Conditions, for each calendar day of delay until the work is completed.

ARTICLE 4. COMPENSATION AND METHOD OF PAYMENT. The CITY will pay the CONTRACTOR for the performance of the Contract in current funds, the sum of Four Million, Five Hundred Eighty-Two Thousand, Nine Hundred Twenty-Nine Hundred Dollars, and Twenty-Eight Cents (\$4,582,929.28). In the event there are changes in the estimated quantities shown on the Bid Proposal, the unit prices multiplied by the actual quantities shall govern, and the total contract amount will be adjusted accordingly. The City agrees to pay the above amount for contractual services in the following manner, upon receipt of appropriate documentation:

- a. The Contractor will be paid on a monthly basis for percentage of estimated work completed. Submittal will be at least seven (7) business days prior to the payable due date as established annually by the City Treasurer's Office. The pay request shall be submitted on the Contract

IN WITNESS WHEREOF, THAT the governing body of the City of Cheyenne has authorized the Mayor as Executive Officer of the City to enter into this Agreement, and that the parties hereto have caused this Agreement to be executed on the day and year in the first part herein written.

ATTEST:

Kylie N. Soden
~~Kylie N. Soden, City Clerk~~
Kylie N. Soden, Deputy City Clerk

CITY OF CHEYENNE, WYOMING
Marian J. Orr
Marian J. Orr, Mayor

Notary or Corporation Secretary: Robyn Honey
SUBSCRIBED AND SWORN TO BEFORE ME
this 18 day of NOV, 2020
by Steven Gerber
My Commission expires: Sept. 17, 2021

Dan Hart Patrol Service, LLC
Contractor
By [Signature]
Managing Member
Title



P.O. Box 619
Upton, Wyoming 82730

BID TABULATION
CITY OF CHEYENNE - PURCHASING
BID NUMBER: S-6-21
 Bid Opening October 9, 2020

CELLS 1 AND 2 CONSTRUCTION AND CELL 3 EXCAVATION EARTHWORKS PROJECT

Bidder Name	Verification (Y or N)	Signed	Bid Completed	In State Bidder	Earthworks		Geosynthetic Installation			Geosynthetic Procurement	
					Base Bid (E.W.)	Alternate #1 (E.W.)	Base Bid (G.P.)	Alternate #1 (G.P.)	Base Bid (G.P.)	Alternate #1 (G.P.)	Alternate #2 (G.P.)
Blackfoot Panel Service, LLC. Laramie, Wyoming	YES	YES	YES	YES	\$ 4,352,929.28	\$ 463,750.00					
Clean Air & Water Systems, LLC. Torrington, Wyoming	YES	YES	YES	NO			\$ 177,147.50	\$ 69,745.00	\$ 446,535.00	\$ 223,445.00	
Northwest Landings & Geosynthetic Products, Inc. Kearney, Nebraska	YES	YES	YES	NO			\$ 253,729.00	\$ 82,621.00	\$ 405,433.00	\$ 225,762.00	
DRM, Inc. Gillette, Wyoming	YES	YES	YES	YES	\$ 5,462,395.00	\$ 853,125.00					
Weeden Construction, LLC. Banner, Wyoming	YES	YES	YES	YES	\$ 5,566,090.00	\$ 752,500.00					
Earth Work Solutions. Gillette, Wyoming	YES	YES	YES	YES	\$ 5,777,760.00	\$ 472,500.00					
Ofstedal Construction, Inc. Casper, Wyoming	YES	YES	YES	YES	\$ 5,815,585.00	\$ 577,500.00					
4X Construction Group, LLC. Mansfield, TX	YES	YES	YES	NO	\$ 6,249,427.00	\$ 322,875.00					
North Wind Construction Services, LLC. Idaho Falls, ID	YES	YES	YES	NO	\$ 8,057,861.24	\$ 513,975.00					
Pine Bluffs Gravel & Excavating. Pine Bluffs, Wyoming	YES	YES	YES	YES	\$ 8,981,102.20	\$ 654,500.00					
Comanco Environmental Corporation. Plant City, FL	YES	YES	YES	NO			\$ 287,115.00	\$ 134,125.00	\$ 433,475.00	\$ 236,400.00	
SKAPS Industries. Athens, Georgia. (Missing Bid Line Item)	YES	YES	YES	NO					\$ 208,438.50	\$ 203,658.00	

INQUIRIES REGARDING THIS BID SHOULD BE DIRECTED TO:
 CITY OF CHEYENNE, PURCHASING MANAGER, PHONE: (307) 773-1045, EMAIL: TBARTTELBO@CHEYENNECITY.ORG
 MUNICIPAL BUILDING, 2101 O'NEIL AVE, ROOM 309, CHEYENNE, WYOMING 82001

TJB